

4. Ratios can be broken into 4 broad categories:
 - (a) Profit and Loss Ratios
 - (b) Balance Sheet Ratios
 - (c) Balance Sheet and Profit and Loss Ratios, and
 - (d) Financial Statements to Market Ratios.
5. Ratios may also be grouped into categories that will enable investors to easily determine the company's strengths and weaknesses.
 - Market value ratios reflect the market regard for a share and the period it would take an investor to recover his investment. The common indicators are the price/ earnings ratio and the market to book ratio.
 - Earnings ratios are used to determine the fair market value of shares and to value investments. The ratios calculated are earnings per share, cash earnings per share, dividend per share and dividend payout ratio.
 - Profitability is of prime importance and these ratios, return on total assets, return on equity, pre-interest return on assets, pre-interest after tax return on assets and return on total invested capital, assist an investor in determining how well a company is doing *vis-a-vis* other companies within the same industry and with reference to its own performance in previous years.
 - Liquidity ratios determine how liquid the company's assets are and whether it can easily meet its obligations. The ratios calculated are the current ratio, the quick or asset test, net current assets, defensive interval and current liability coverage.
 - Leverage ratios indicate the extent a company is dependent on borrowings in the form of debentures, short/long term loans and bank overdrafts. The ratios calculated to determine leverage are liabilities to assets ratio, debt to assets ratio, debt to net worth ratio, liabilities to net worth and incremental gearing.
 - Debt service capacity ratios indicate whether a company can service its debts. The ones commonly computed are debt coverage, liability coverage, interest cover, fixed charge cover and cash flow surplus.
 - Asset management ratios are used to determine how efficiently a company is managing its assets. The more important determinants